

1.

Hobart acquired 100% of the shares of Sydney on 1 January 20X0 for \$5,000. At that date the statements of financial position were as follows:

	Hobart	Sydney
	\$	\$
Investment in Sydney	5,000	--
Other assets	<u>12,000</u>	<u>6,000</u>
Total assets	<u>17,000</u>	<u>6,000</u>
Issued capital	8,000	5,000
Retained earnings	<u>7,000</u>	<u>--</u>
Total equity	15,000	5,000
Liabilities	<u>2,000</u>	<u>1,000</u>
Total equity and liabilities	<u>17,000</u>	<u>6,000</u>

Required

Prepare the consolidated statement of financial position of the Hobart group as at 1 January 20X0.

2.

One year later, 31 December 20X0, the statements of financial position of Hobart and Sydney are as follows:

	Hobart	Sydney
	\$	\$
Investment in Sydney	5,000	--
Other assets	<u>12,000</u>	<u>9,000</u>
Total assets	<u>17,000</u>	<u>9,000</u>
Issued capital	8,000	5,000
Retained earnings	<u>7,000</u>	<u>3,000</u>
Total equity	15,000	8,000
Liabilities	<u>2,000</u>	<u>1,000</u>
Total equity and liabilities	<u>17,000</u>	<u>9,000</u>

Required

Prepare the consolidated statement of financial position of the Hobart group as at 31 December 20X0.

Points to note

- The consolidated statement of financial position shows the assets, which are under the control of Hobart, rather than the investment in shares of Sydney.
- The Issued capital is that of Hobart only, because the group accounts are prepared for the benefit of Hobart's shareholders only.
- Include in the consolidated statement of financial position are the profits less losses made by Sydney since acquisition.

3.

Hercules acquired the entire Issued capital of Samson for \$6,000 on 1 April 20X0 when the statements of financial position of the two companies were as follows:

	Hercules	Samson
	\$	\$
Investment in Samson	6,000	--
Other assets	<u>11,500</u>	<u>7,000</u>
Total assets	<u>17,500</u>	<u>7,000</u>
Issued capital	5,000	4,000
Retained earnings	<u>11,000</u>	<u>2,000</u>
Total equity	16,000	6,000
Liabilities	<u>1,500</u>	<u>1,000</u>
Total equity and liabilities	<u>17,500</u>	<u>7,000</u>

Required

Prepare the consolidated statement of financial position of the Hercules group as at 1 April 20X0.

Points to note

- The group controls net assets of \$16,000 (assets of \$18,500 and liabilities of \$2,500).
- Since Samson is a 100% subsidiary Hercules also owns net assets of \$6,000 (assets of \$7,000 and liabilities of \$1,000).
- Issued capital is only that of Hercules.
- Retained earnings are only those of Hercules since no post-acquisition period has arisen yet!

4.

Homer acquired 100% of Simpson for \$7,000 when the statement of financial position of Simpson was as follows:

	\$
Total assets	<u>11,000</u>
Issued capital	2,000
Retained earnings	<u>5,000</u>
Total equity	7,000
Liabilities	<u>4,000</u>
Total equity and liabilities	<u>11,000</u>

On 31 December 20X0 the statements of financial position of the two companies are as follows:

	Homer	Simpson
	\$	\$
Investment in Simpson	7,000	--
Other assets	<u>16,000</u>	<u>17,000</u>
Total assets	<u>23,000</u>	<u>17,000</u>
Issued capital	5,000	2,000
Retained earnings	<u>14,000</u>	<u>11,000</u>
Total equity	19,000	13,000
Liabilities	<u>4,000</u>	<u>4,000</u>
Total equity and liabilities	<u>23,000</u>	<u>17,000</u>

Required

Prepare the consolidated statement of financial position of the Homer group as at 31 December 20X0.

Summary of points to note

- Net assets controlled by the group are \$25,000 (Assets of \$33,000 less liabilities of \$8,000)
- Since Simpson is a 100% subsidiary Homer also owns net assets of \$13,000
- Issued capital is only ever that of Homer
- Consolidated retained earnings are:
 - Homer (\$14,000); plus
 - The post-acquisition reserves of Simpson (\$11,000-\$5,000) = \$6,000

5.

Hop acquired the entire Issued capital of Skip for \$8,000 on 1 February 20X0 when the statements of financial position of the two companies were as follows:

	Hop	Skip
	\$	\$
Investment in Skip	8,000	--
Other assets	<u>9,500</u>	<u>6,500</u>
Total assets	<u>17,500</u>	<u>6,500</u>
Issued capital	9,000	3,000
Retained earnings	<u>6,000</u>	<u>2,000</u>
Total equity	15,000	5,000
Liabilities	<u>2,500</u>	<u>1,500</u>
Total equity and liabilities	<u>17,500</u>	<u>6,500</u>

Required

Prepare the consolidated statement of financial position of the Hop group as at 1 February 20X0.

Points to note

- Net assets controlled (and owned on this occasion) by the group are \$15,000
- Issued capital is always that of the holding company only.

6.

Hide acquires 75% of the issued capital of Seek at the date of the latter company's incorporation on 1 January 20X5. One year later the two companies have the following statements of financial position.

	Hide	Seek
	\$	\$
Goodwill		
Investment in Seek	5,000	--
Other assets	<u>12,500</u>	<u>8,000</u>
Total assets	<u>17,500</u>	<u>8,000</u>
Issued capital	12,000	4,000
Retained earnings	<u>1,500</u>	<u>1,000</u>
Total equity	13,500	5,000
Non-controlling interests		
Total equity		
Liabilities	<u>4,000</u>	<u>3,000</u>
Total equity and liabilities	<u>17,500</u>	<u>8,000</u>

Required

Produce the consolidated statement of financial position of Hide and its subsidiary company at this date.

The non-controlling interests of Seek are to be valued at the proportionate share of identifiable net assets (as opposed to fair value).

Points to note

- The assets and liabilities of the statement of financial position show what the group CONTROLS.
- The capital and reserves section of the statement of financial position shows who actually OWNS the consolidated net assets of the group

7. Dickens

The following statement of financial position have been prepared at 31 December 20X8.

	Dickens	Jones
	\$	\$
Non-current assets:		
Tangible assets	85,000	18,000
Investments		
Shares in Jones	<u>60,000</u>	
	145,000	
Current assets	<u>160,000</u>	<u>84,000</u>
	<u>305,000</u>	<u>102,000</u>
Capital and reserves:		
Called-up Issued capital	65,000	20,000
Share premium	35,000	10,000
Retained earnings	<u>70,000</u>	<u>25,000</u>
	170,000	55,000
Current liabilities	<u>135,000</u>	<u>47,000</u>
	<u>305,000</u>	<u>102,000</u>

Dickens acquired its 80% holding in Jones on 1 January 20X8, when Jones' retained earnings stood at \$20,000. On this date, the fair value of the 20% non-controlling shareholding in Jones was \$12,500.

There has been no impairment of goodwill since acquisition.

The Dickens Group uses the full goodwill method to value the non-controlling interest.

Required

Prepare the consolidated statement of financial position of Dickens as at 31 December 20X8.

8.

Hit acquired 80% of the issued capital of Score on 30 September 20X7.

At the year end 31 December 20X7 the two companies have the following statements of financial position:

		Hit		Score
	\$	\$	\$	\$
Investment in Score		2,000		
Property, plant and equipment		1,000		
Other assets		<u>9,500</u>		<u>6,000</u>
Total assets		<u>12,500</u>		<u>6,000</u>
Issued capital		4,000		1,000
Share premium		-		500
Retained earnings				
1 Jan 20X7	4,000		1,500	
Profit for 20X7	<u>2,000</u>		<u>1,000</u>	
		<u>6,000</u>		<u>2,500</u>
		10,000		4,000
Non-controlling interest				
Total equity				
Liabilities		<u>2,500</u>		<u>2,000</u>
Total equity and liabilities		<u>12,500</u>		<u>6,000</u>

The non-controlling interests of Score are to be valued at the proportionate share of identifiable net assets.

Required

Prepare the consolidated statement of financial position of Hit and its subsidiary company as at 31 December 20X7. Goodwill/negative goodwill arising is to be treated in accordance with IFRS 3.

9.

Hard acquired 60% of the Issued capital of Soft on its incorporation. The statement of financial position of the two companies as at 31 December 20X8 are as follows:

	Hard \$'000	Soft \$'000
Non-current assets		
Property, plant and equipment	200	50
Investment in Soft	<u>6</u>	<u> </u>
	206	50
Current assets		
Inventory	22	18
Receivables - Soft	40	
- Other	56	39
Cash	<u>4</u>	<u>15</u>
	<u>122</u>	<u>72</u>
Total assets	<u>328</u>	<u>122</u>
Equity and liabilities		
Issued capital	100	10
Retained earnings	<u>147</u>	<u>42</u>
	247	52
Non-controlling interest		
Total equity		
Current liabilities		
Trade payables	81	50
Hard	<u> </u>	<u>20</u>
	<u>81</u>	<u>70</u>
Total equity and liabilities	<u>328</u>	<u>122</u>

Notes:

1. There was cash in transit of \$4,000 from Soft to Hard at the year-end.
2. Goods dispatched by Hard to Soft before the year end with the related invoices to the value of \$16,000 had not been received by Soft until 4 January 20X9. The original cost of the goods was \$16,000.

Required

Prepare a consolidated statement of financial position as at 31 December 20X8.

The facts are the same as previously except that, this time the goods sold by Hard to Soft for \$16,000 included a profit of \$3,000.

Required

Prepare a consolidated statement of financial position as at 31 December 20X8.

10.

Head acquired 80% of the Issued capital of Shoulder on its incorporation. The statements of financial position of the two companies as at 31 December 20X8 are as follows:

	Head \$'000	Shoulder \$'000
Non-current assets		
Property, plant and equipment	200	80
Investment in Shoulder	<u>8</u>	<u>—</u>
	208	80
Current assets		
Inventory	50	25
Others	<u>100</u>	<u>55</u>
	<u>150</u>	<u>80</u>
Total assets	<u>358</u>	<u>160</u>
Equity and liabilities		
Issued capital	100	10
Retained earnings	<u>183</u>	<u>90</u>
	283	100
Non-controlling interest		
Total equity		
Current liabilities	<u>75</u>	<u>60</u>
Total equity and liabilities	<u>358</u>	<u>160</u>

Notes:

1. There were no intercompany balances at the year-end.
2. During December 20X8 Shoulder sold goods to Head for \$25,000. Shoulder sells goods at a mark-up of 25%. Head had not sold any of these goods at the year-end.

Required

Prepare a consolidated statement of financial position as at 31 December 20X8.

11.

On 1 July 20X7 Harvey acquired 80% of the ordinary Issued capital of Sean for \$100,000 when the balance on Sean's retained earnings was \$50,000. The statements of financial position of the two companies at 30 June 20X8 are as follows:

	Harvey \$'000	Sean \$'000
Non-current assets		
Property, plant and equipment	216	182
Investment in Sean	<u>100</u>	<u> </u>
	316	182
Current Assets	<u>678</u>	<u>350</u>
Total Assets	<u>994</u>	<u>532</u>
Equity and liabilities		
Issued capital	150	90
Retained earnings	<u>550</u>	<u>410</u>
	700	500
Non-controlling interest		
Total equity		
Current liabilities	<u>294</u>	<u>32</u>
Total equity and liabilities	<u>994</u>	<u>532</u>

Notes:

During the year ended 30 June 20X8 Harvey sold a piece of plant and machinery to Sean for \$56,000. The asset originally cost \$90,000 and has been written down to \$36,000 as at 1 July 20X7. Both companies depreciate non-current assets on a straight-line basis over 5 years. Sean depreciated the cost of the asset over its remaining useful life of 2 years.

The non-controlling interests of Sean are to be valued at the proportionate share of identifiable net assets.

Required

Prepare the consolidated statement of financial position as at 30 June 20X8. Treat goodwill and negative goodwill in accordance with IFRS 3.

12.

Hebdon acquired 75% of the issued capital of Stoke on 1 January 20X2.

Their respective income statements for the year ended 31 December 20X2 are follows:

	Hebdon	Stoke
	\$	\$
Revenue	24,500	15,600
Cost of sales and expenses	<u>14,000</u>	<u>10,000</u>
	10,500	5,600
Dividend from subsidiary	<u>1,500</u>	<u> </u>
Profit before tax	12,000	5,600
Income tax expense	<u>5,000</u>	<u>1,600</u>
Profit after tax	<u>7,000</u>	<u>4,000</u>

Statement of Changes in Equity Retained earnings (extract)

	Hebdon	Stoke
	\$	\$
Profit for year	7,000	4,000
Dividend	<u>(3,000)</u>	<u>(2,000)</u>
Retained Profit	<u>4,000</u>	<u>2,000</u>

Required

Produce the consolidated income statement of Hebdon and its subsidiary for the year ended 31 December 20X2.

(Ignore goodwill)

13.

On 1 July 20X4 Hide acquired 90% of Seek at a cost of \$55,000. The balance on Seek's retained earnings was \$15,000 at that date. Seek had no other reserves.

It has ordinary Issued capital of \$20,000 of \$1 ordinary shares. Goodwill is not amortised.

The income statements of both companies for the year ended 30 June 20X9 were as follows:

	Hide	Seek
	\$'000	\$'000
Revenue	100	90
Cost of sales	<u>75</u>	<u>55</u>
Gross profit	25	35
Distribution costs	(5)	(6)
Administrative expenses	<u>(8)</u>	<u>(10)</u>
Profit before tax	12	19
Income tax expense	<u>4</u>	<u>6</u>
Profit after tax	<u>8</u>	<u>13</u>

Statement of Changes in Equity – Retained earnings extract

	Hide	Seek
	\$'000	\$'000
Balance at 1 July 20X8	50	25
Total comprehensive income for the year		
Profit for the year	8	13
Dividends	<u>(2)</u>	<u>(3)</u>
Balance at 30 June 20X9	<u>56</u>	<u>35</u>

Required

Prepare the consolidated statement of comprehensive income of Hide for the year ended 30 June 20X9.

14. Hutch

Hutch acquired 90% of the voting Issued capital of Starsky on 1st January 2009 when Starky's retained earning stood at 15 million.

The statements of financial position of the two companies are as follows for 31st December 2009:

	Hutch MFt	Starsky MFt
Investment in Starsky	100	-
Land and building	20	30
Plants	25	15
Inventory	30	40
Receivables	45	-
Cash and equivalents	5	5
Assets	225	90
Issued capital (1 each)	30	20
Share premium	10	10
Retained earnings	65	40
<i>Equity</i>	<i>105</i>	<i>70</i>
Loans	100	
Payables	20	20
<i>Liabilities</i>	<i>120</i>	<i>20</i>
Equity and liabilities	225	90

1. When Starsky was purchased the following differences were identified in the fair value:
 - a. Starsky was purchased partly because of it's contracts. The value of this was valued at 10 MFt. at the date of acquisition. It is assumed that the contracts will lead to net cash inflows for five years.
 - b. The fair value of Starsky's plants has a fair value excess of 5 million (as opposed to book value). The useful life of these assets are deemed to be five years at the date of acquisition.
 - c. Starsky's inventories worth 1 million more on the date of acquisition. Those inventories were all sold before the current yearend.
 - d. The liabilities of Starsky did not include a possible liability worth 10 million, since IAS 37 does not allow the recognition of those items. However, on the 31st December 2009 it became obvious that no payment will be done due to this obligation.
2. The goodwill suffered a 40% impairment. (Only the parent's goodwill is shown.)
3. The following IC transactions and balances existed at the yearend:
 - a. Starsky sold Hutch a land worth 4 million for 5 million. The price was paid during 2009.
 - b. Hutch sold inventory to Starsky in December. Hutch sent the goods with the invoice to Starsky. The price of the inventory was 3 million and there were no profit on the transaction. Starsky did not record the purchase yet.

Prepare the consolidated statement of financial position of the Hutch group!